

BOARD-LEVEL CONFIDENTIAL: ACCESS RESTRICTED (TIER 1)

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Subject: Q1 2026 Liquidity Stress Test & Emergency Thresholds

Classification: Restricted / Tier 1 (L1 Administrator Clearance Required)

Date: April 28, 2026

1. Executive Liquidity Overview

This report outlines the "Redline" thresholds for institutional liquidity. These figures represent the bank's survival limits under extreme market volatility. Disclosure to Tier 2 (Operators) or Tier 3 (Viewers) is strictly prohibited as it could trigger a bank run or internal panic.

2. Liquidity Coverage Ratio (LCR) Thresholds

The bank must maintain a minimum LCR to ensure it has enough high-quality liquid assets (HQLA) to survive a 30-day stress scenario.

- **Target: 125%**
- **Amber Warning: 105% (Trigger immediate asset sell-off)**
- **Critical Redline: 98% (Requires immediate notification to the Central Bank/RBI)**

3. The "Mass Withdrawal" Stress Scenario

Internal models indicate the following vulnerabilities:

- **Retail Deposits:** A sudden withdrawal of 22% of total retail deposits within a 72-hour window would breach Tier 1 capital requirements.
- **Corporate Exposure:** A default of the top three corporate borrowers simultaneously would result in a liquidity gap of ₹1,200 Crore.

4. Emergency Funding Plan (EFP)

If the Critical Redline (98% LCR) is breached, the following protocols are activated by the Sentinel Security Plane:

1. **Immediate Freeze:** All high-value corporate loans (> ₹50 Crore) are suspended.
2. **Central Bank Trigger:** The emergency credit line is to be requested only when the net liquidity position drops below the ₹500 Crore threshold.
3. **Tier 1 Lockout:** All Tier 2 and Tier 3 personnel are automatically locked out of the "Capital Outflow" portal to prevent manual errors or unauthorized transfers.

5. Jurisdictional Sensitivity: Andhra Pradesh Operations

Current regional stress tests for the Vizianagaram and Hyderabad corridors show a higher-than-average reliance on short-term deposits. A regional economic downturn could impact local liquidity by up to 8.5% more than the national average.

Approved by:

Chief Risk Officer (CRO)

Sentinel Compliance Group